UPDATES
See what's new

ICICI Prudential Short Term Fund

(An open ended short term debt scheme investing in instruments such that the Macaulay duration of the portfolio is between 1 Year and 3 Years. A relatively high interest rate risk and moderate credit risk)

ICICI PRUDENTIAL MUTUAL FUND

28-Feb-26

Fund Snapshot

Inception Date
25-Oct-01

Fund Manager
Manish Banthia
(Managing this fund since Nov, 2009 & Overall 21 years of experience)

Nikhil Kabra
(Managing this fund since Dec, 2020 & Overall 11 years of experience)

Benchmark
NIFTY Short Duration Debt Index A-II##

Options
Growth and IDCW (IDCW Payout and IDCW Reinvestment available)
(Frequencies - Monthly)

Investment Options Available
Lumpsum, SIP, SWP and STP

Month End AUM(Crs.) (As on Feb 28, 2026)
₹ 22,852.22

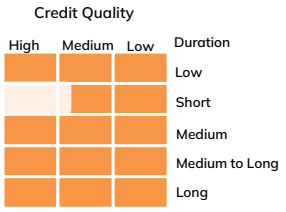
Portfolio Quants*

Average Maturity	4.53 Years
Yield to Maturity (Annualised)	7.41%
Macaulay Duration	2.86 Years
Modified Duration	2.73 Years

Investment Amount
Minimum Application Amount
₹5,000 (plus in multiples of ₹1)
Minimum Additional Investment
₹1,000 (plus in multiples of ₹1)
Minimum Redemption Amount
Any Amount
Minimum SIP Amount
Daily, Weekly, Fortnightly and Monthly Frequency: ₹ 1,000/- and in multiple of ₹ 1/-
Quarterly Frequency: ₹ 5,000/- and in multiple of ₹ 1/-

Exit Load
Nil

Style Box



About the Scheme

ICICI Prudential Short Term Fund is an open ended short term debt scheme investing in instruments such that the Macaulay duration of the portfolio is between 1 Year and 3 Years. A relatively high interest rate risk and moderate credit risk.

Aims to generate income through investments in a range of debt and money market instruments while maintaining the optimum balance of yield, safety and liquidity. In addition, the scheme seeks to derive benefit from any potential mark-to-market returns by tactical, calibrated and opportunistic approach to Government securities.

Current Positioning

- Instrument profile: The Scheme predominantly invests in short- to medium-term debt instruments issued by the corporates, financial entities and banks. It may also take view-based exposure to government securities. As on Feb 28, 2026, the Scheme is maintaining 22.56% in Sovereign Securities, 55.76% in AAA & Equivalent securities, 18.09% in AA & Equivalent securities and 3.59% in TREPs and Net Current Assets.
- Credit risk management: It proposes to predominantly invest in debt instruments of good credit quality, i.e. predominantly in instruments with long-term rating between AAA and AA. The Scheme also aims to capture credit spread opportunities to generate returns.
- Security selection: It seeks to invest in corporate securities that are at reasonable spreads over G-Sec and offer reasonable yield at commensurate risks with an aim to generate accrual returns.The Scheme shall have tactical, calibrated and opportunistic approach to government securities with varying maturities based on the underlying interest rate view.
- Duration management: The Scheme will actively manage duration with an aim to generate potential capital appreciation. The Scheme aims to maintain its macaulay duration in the range of 1 to 3 years. As on Feb 28, 2026, the Scheme is maintaining a modified duration of 2.73 years and macaulay duration of 2.86 years. The Macaulay duration is the weighted average term to maturity of the cash flows from a bond. The weight of each cash flow is determined by dividing the present value of the cash flow by the price.

Why ICICI Prudential Short Term Fund ?

- The Scheme endeavours to generate risk adjusted returns by maintaining a fair balance between duration and yield.
- The Scheme aims to benefit from capital appreciation through active management of G-Sec and active duration management.The Scheme also aims to maintain reasonable yield by investing in high rated corporate bonds.The Scheme is suitable for investors who aim to invest for 6 months and above and wish to benefit from accrual income as well as opportunistic gains through potential capital appreciation from any favourable rates movements.

Market Outlook

We believe there is seasonal tightness in liquidity conditions during Jan-Mar quarter due to delayed fiscal spending, leading to a buildup of government cash surplus. Consequently, we have observed an increase in yields in the short-duration Certificate of Deposit (CD) and Commercial Bill (CB) segments. Given this context, we recommend that investors consider low or short-duration funds to capture the elevated yields.

In G-secs, we saw markets being fearful and cautious possibly due to end of rate cutting cycle by the RBI; losses in existing portfolio; fear of higher supply of G-sec/SDLs. We believe that these fears may be overstated and sentiment-driven as there are adequate drivers of demand for G-secs from banks, NPS funds and insurance sector.

The current yield scenario is already elevated and therefore, any further rise in yields may be relatively capped. At the current levels, we believe most of the negative are already priced in. The 15-year and above G-sec curve is already pricing in a normal economic environment.

(bps – basis points; T-bill – Treasury Bill; RBI – The Reserve Bank of India; MPC – Monetary policy committee; SDL – State Development Loans.)

UPDATES
See what's new

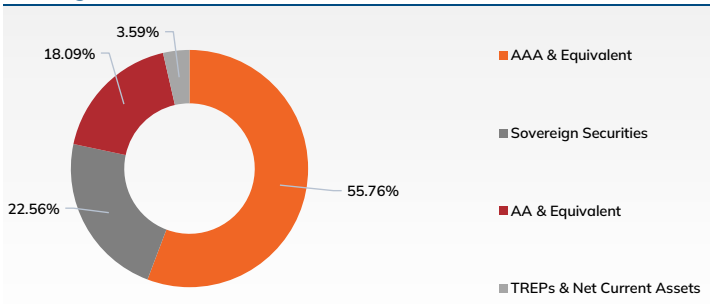
ICICI Prudential Short Term Fund

(An open ended short term debt scheme investing in instruments such that the Macaulay duration of the portfolio is between 1 Year and 3 Years. A relatively high interest rate risk and moderate credit risk)

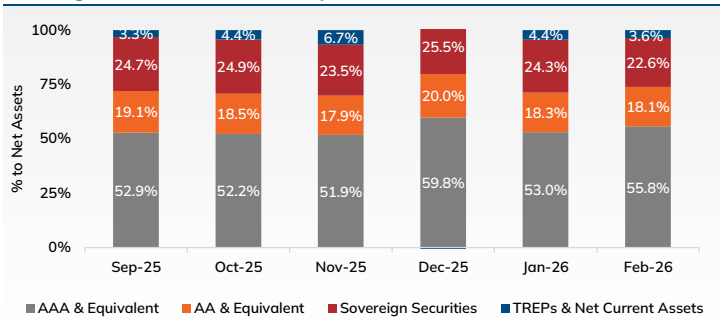
ICICI PRUDENTIAL MUTUAL FUND

Portfolio Update (Data as on Feb 28, 2026)

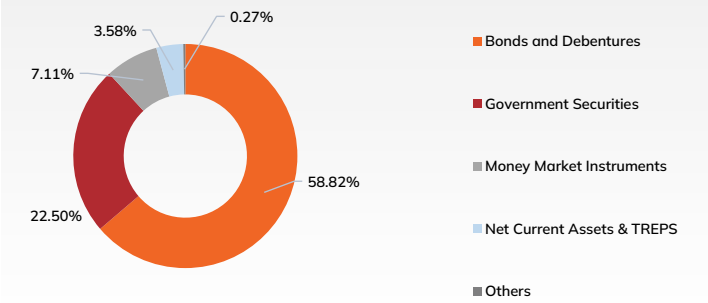
Rating Allocation



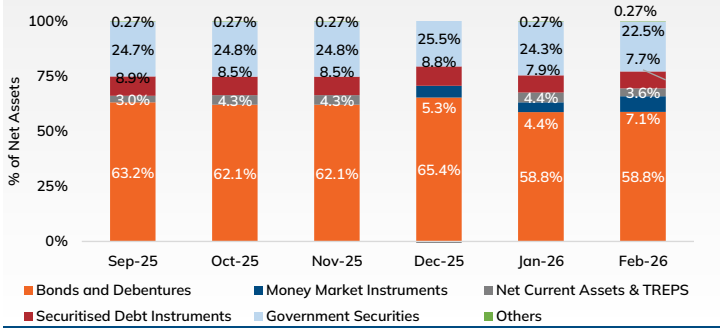
Rating Allocation (For the past six months)



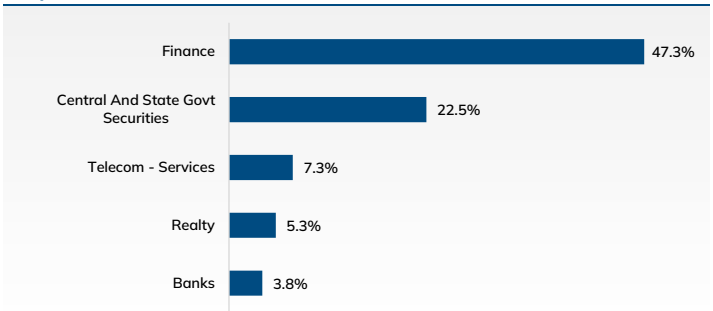
Instrument Allocation



Instrument Allocation (For the past six months)



Top 5 Industries Allocation (% of Net Assets)



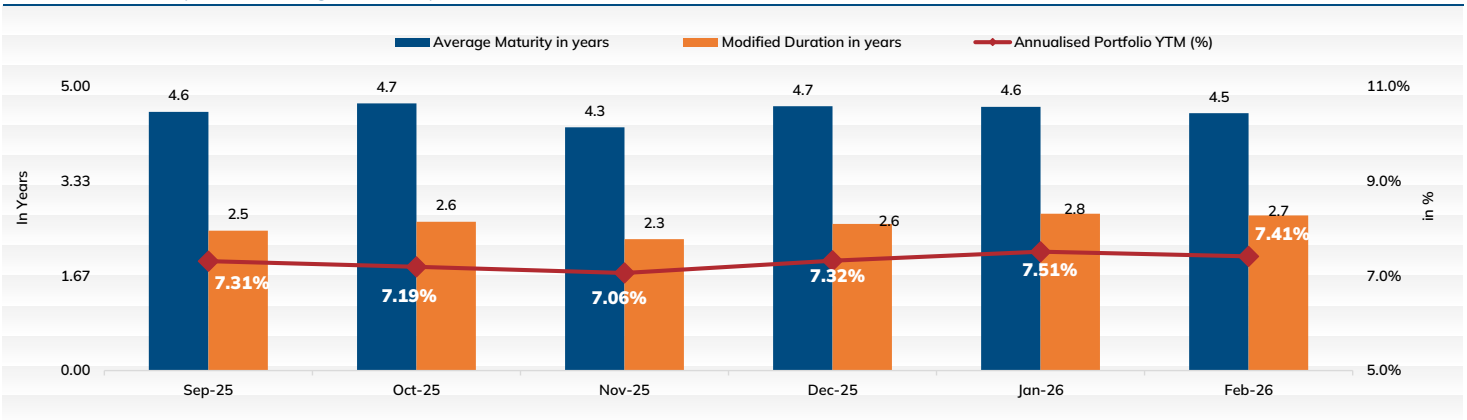
Industries allocation is as per AMFI/NSE Indices Ltd. classification. The Industries Allocation consists of pass through certificates, corporate securities, commercial papers and certificate of deposits. Cash, cash equivalents are not considered.

Top 10 Debt Holdings

	Ratings	% to Net Assets
NABARD	CRISIL AAA	8.48
Small Industries Development Bank Of India.	CRISIL AAA	6.23
LIC Housing Finance Ltd.	CRISIL AAA	5.89
06.48% GOI 2035	Sovereign	4.25
Shivshakti Securitisation Trust	CRISIL AAA(SO)	2.66
Vedanta Ltd.	CRISIL AA	2.58
Power Finance Corporation Ltd.	CRISIL AAA	2.53
Muthoot Finance Ltd.	CRISIL AA+	2.39
EMBASSY OFFICE PARKS REIT	CRISIL AAA	2.38
Siddhivinayak Securitisation Trust	CRISIL AAA(SO)	2.33
Total		39.71

Data as on Feb 28, 2026. The portfolio of the scheme is subject to changes within the provisions of the Scheme Information document of the scheme. Please refer to the SID for investment pattern, strategy and risk factors. The Top 10 Holdings consists of corporate securities, Commercial Papers and Certificate of Deposits . Cash, cash equivalents are not considered.

Yield-to-Maturity v/s Average Maturity and Modified Duration



UPDATES
See what's new

ICICI Prudential Short Term Fund

(An open ended short term debt scheme investing in instruments such that the Macaulay duration of the portfolio is between 1 Year and 3 Years. A relatively high interest rate risk and moderate credit risk)

ICICI PRUDENTIAL MUTUAL FUND

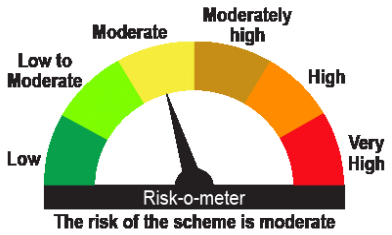
Product Label

This Scheme is suitable for investors who are seeking*

- Short term income generation and capital appreciation solution
- A debt fund that aims to generate income by investing in a range of debt and money market instruments of various maturities.

* Investors should consult their financial advisor if in doubt about whether the product is suitable for them.

Scheme Riskometer



Please note that the Risk-o-meter(s) specified above will be evaluated and updated on a monthly basis. The above riskometers are as on Feb 28, 2026. Please refer to https://www.icicipruamc.com/news-and-updates/all-news for more details

*IDCW – Income Distribution cum Capital Withdrawal Option. Payment of IDCW is subject to availability of distributable surplus and Trustee approval. Pursuant to payment of IDCW, the NAV of the scheme falls to the extent of IDCW payout. When units are sold and sale price (NAV) is higher than face value of the unit, a portion of sale price that represents realized gains is credited to an Equalization Reserve Account and which can be used to pay IDCW. IDCW can be distributed out of investors capital (Equalization Reserve), which is part of sale price that represents realized gains. In case the unit holder has opted for IDCW payout option, the minimum amount for IDCW payout shall be 100 (net of dividend distribution tax and other statutory levy, if any), else the IDCW would be mandatorily reinvested.

IDCW Payout -Payout of Income Distribution cum capital withdrawal option; IDCW Reinvestment -Reinvestment of Income Distribution cum capital withdrawal option

##The Benchmark of the Scheme has been changed from NIFTY Short Duration Debt Index B-II to NIFTY Short Duration Debt Index A-II with effect from Mar 12, 2024.

Potential Risk Matrix for the Scheme:

The Potential risk class (PRC) matrix based on interest rate risk and credit risk.

Position in the Matrix:

Potential Risk Class			
Credit Risk→ Interest Rate Risk ↓	Relatively Low (Class A)	Moderate (Class B)	Relatively High (Class C)
Relatively Low (Class I)			
Moderate (Class II)			
Relatively High (Class III)		B-III	

YTM Disclaimer:

	Portfolio Information
Scheme Name:	ICICI Prudential Short Term Fund
Description	An open ended short term debt scheme investing in instruments such that the Macaulay duration of the portfolio is between 1 Year and 3 Years. A relatively high interest rate risk and moderate credit risk.
Annualised Portfolio YTM*:	7.41%
Macaulay Duration	2.86 years
Residual Maturity	4.53 years
As on Date	28-Feb-26

As per AMFI Best Practices Guidelines Circular No. AMFI/35P/MEM-COR/72/2022-23 dated December 31, 2022 on Standard format for disclosure of portfolio YTM for debt schemes. Yield of the instrument is disclosed on annualized basis as provided by Valuation agencies. *in case of semi-annual YTM it will be annualized.

The Yield to Maturity (YTM) mentioned is based on scheme portfolio dated Feb 28, 2026. YTM is the rate of return on a bond if held until maturity. This should not be considered as an indication of the returns that maybe generated by the scheme. The securities bought by the scheme may or may not be held till their respective maturities.'

Annualized Yield to Maturity converts instrument coupon into annualized format wherein the coupons are paid on a semi-annualized basis.

Disclaimer:

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.

In preparation of the material contained in this document, ICICI Prudential Asset Management Company Limited (the AMC) has used information that is publicly available, including information developed in-house. Some of the material used in the document may have been obtained from members/persons other than the AMC and/or its affiliates and which may have been made available to the AMC and/or to its affiliates. Information gathered and material used in this document is believed to be from reliable sources. The AMC, however, does not warrant the accuracy, reasonableness and / or completeness of any information. We have included statements / opinions / recommendations in this document, which contain words, or phrases such as "will", "expect", "should", "believe" and similar expressions or variations of such expressions that are "forward looking statements". Actual results may differ materially from those suggested by the forward looking statements due to risk or uncertainties associated with our expectations with respect to, but not limited to, exposure to market risks, general economic and political conditions in India and other countries globally, which have an impact on our services and / or investments, the monetary and interest policies of India, inflation, deflation, unanticipated turbulence in interest rates, foreign exchange rates, equity prices or other rates or prices etc. The AMC (including its affiliates), the Mutual Fund, the trust and any of its officers, directors, personnel and employees, shall not be liable for any loss, damage of any nature, including but not limited to direct, indirect, punitive, special, exemplary, consequential, as also any loss of profit in any way arising from the use of this material in any manner. The recipient alone shall be fully responsible/are liable for any decision taken on this material. All figures and other data given in this document are dated and the same may or may not be relevant in future. The information contained herein should not be construed as a forecast or promise nor should it be considered as an investment advice. Investors are advised to consult their own legal, tax and financial advisors to determine possible tax, legal and other financial implication or consequence of subscribing to the units of ICICI Prudential Mutual Fund. The sector(s)/stock(s) mentioned in this communication do not constitute any recommendation of the same and ICICI Prudential Mutual Fund may or may not have any future position in these sector(s)/stock(s). Past performance may or may not be sustained in the future. The portfolio of the scheme is subject to changes within the provisions of the Scheme Information document of the scheme. Please refer to the SID for more details.